



KENYATTA UNIVERSITY
UNIVERSITY EXAMINATIONS 2014/2015
DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING
SECOND SEMESTER EXAMINATION FOR THE DEGREE OF
BACHELOR OF COMMERCE
BAC 203: BUSINESS FINANCE I

DATE: Saturday, 2nd May 2015

TIME: 8.00 a.m. – 10.00 a.m.

INSTRUCTIONS:

Answer ALL questions.

QUESTION ONE

- (a) Explain four functions of a finance manager in a business organisation. (4 marks)
- (b) (i) Explain four agency relationships which exits in a business organisation. (4 marks)
- (ii) Explain the conflicts that may arise in each relationship and how it can be reduced. (4 marks)
- (c) Explain four merits of using ordinary shares as a source of finance for the business. (4 marks)
- (d) Explain four factors you need to consider before a choice of debt finance. (4 marks)

QUESTION TWO

- (a) Explain the factors that may affect the expected return for a firm. (4 marks)
- (b) A limited intends to invest in two securities available and the Security Exchange Market. The following information based on the future states of economy in a country.

State of the Economy	Probability	Security A	Security B
Expansion	0.3	19%	21%
Peak	0.4	24%	26%
Contraction	0.2	15%	14%
Recession	0.1	11%	12%

Required:

- (i) Expected return of each company securities
 - (ii) Standard deviation for each company security return
 - (iii) Correlation Coefficient between the two securities return
 - (iv) Portfolio Risk for an investor who intends to hold 45% in A and 55% in B.
(8 marks)
- (e) Explain structure of Kenyan capital market. (4 marks)

QUESTION THREE

- (a) Consider the stock of B Limited that will pay an annual dividend of Kshs 2 in the coming year. The dividend is expected to grow at a constant rate of 5% permanently. The market requires is 12% in the company.

- (i) Determine the current price of a share of the stock. (4 marks)
- (ii) What will the stock price be 10 years from today? (3 marks)

- (b) Express Limited borrowed Kshs 3,000,000 from a local commercial bank payable at maturity plus accumulated interest. The instead for the amount is 15% p.a. and the maturity period is 5 years from now. The firm has decided to create a sinking fund to generate enough money to pay the loan at maturity.

You are required to prepare amortization schedule for the sinking fund to pay the amount. (5 marks)

- (c) Management of Thika Limited is anticipating investing in a project. The project is expected to have a life of 7 years. The expected cash inflows are as follows:

Years	1	2	3	4	5	6	7
Cash flows	150,000	180,000	190,000	200,000	220,000	230,000	200,000

You are required to determine total present value for the firm if required rate of return for the firm is 12%. (7 marks)

QUESTION FOUR

(a) Explain four importance of cost of capital finance decision making. (4 marks)

(b) Highway Ltd a firm listed at a local security exchange has a capita structure as follows: 30% ordinary shares, 20% retained earnings, 30% of preference shares and the remaining is financed by debt. The ordinary shares of the company are currently trading at Kshs 180 per share and company has paid a dividend of Kshs 10 per share and a divided growth policy of 8% p.a. The 12% preference shares are trading at their nominal value and the debt is of 18% bank loans. The company is within the 40% tax bracket.

You are required to determine the Weighted Average Cost of Capital (WACC)
(8 marks)

(c) Explain the uses if the following ratios:

(i) Liquidity rations

(ii) Activity ratios

(iii) Revenue rations

(3 marks)